

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-09

TZ SSE Buyer, LLC, Complainant v. COSCO Shipping Lines Co., LTD, Respondent

**COMPLAINANT TZ SSE BUYER, LLC'S
PROPOSED FINDINGS OF FACT
(Public Version)**

Pursuant to 46 C.F.R. § 502.214, Complainant TZ SSE Buyer, LLC submits the following Proposed Findings of Fact (“CPFF”) in support of its Initial Brief:¹

I. Introduction.

1. This case arises from a Verified Complaint originally filed on February 14, 2024, by Impact Products, LLC (“Impact Products”) and Safety Zone, LLC (“Safety Zone”), alleging that Respondent COSCO Shipping Lines Co., LTD (“Respondent” or “COSCO”) violated the Shipping Act of 1984. **(Doc. No. 1.)**

2. On September 27, 2024, the former complainants, Impact Products and Safety Zone, filed a motion for leave to amend the Amended Verified Complaint. **(Doc. No. 18.)** In the motion, they requested that TZ SSE Buyer, LLC (“Complainant”) be substituted as the sole complainant following their Chapter 11 bankruptcy and the sale of all of their assets, including all claims and causes of action, to Complainant. **(Id.)**

3. On October 16, 2024, the former Presiding Officer granted the motion, and the Second Amended Verified Complaint (the “Complaint”) was filed on the same date. It was subsequently served on Respondent on October 17, 2024. **(Doc. No. 23-24.)**

4. In the Complaint, Complainant, as the successor-in-interest to Impact Products and Safety Zone, alleges that Respondent violated 46 U.S.C. § 41102(c) and the Federal Maritime Commission’s (“FMC” or “Commission”) Interpretive Rule on Demurrage and Detention by failing to establish and enforce just and reasonable practices related to the receipt, handling, storage, and delivery of cargo. **(Doc. No. 23, ¶¶ 11, 31.)**

¹ Exhibits (“Exhibit” or “Ex.”) cited in Complainant’s Proposed Findings of Fact are included in Complainant’s Appendix. Additionally, ‘Doc. No.’ refers to documents filed in the docket for this proceeding under FMC Docket No. 24-09.

5. Specifically, Complainant asserts that Respondent imposed demurrage, detention, per diem, and yard storage charges on Impact Products and Safety Zone, through Laufer Group International (“Laufer”), during 2021 and 2022. (*Id.* ¶¶ 13–15.)

6. The Complaint further alleges that these charges were assessed for delays caused by systemic issues beyond the control of Laufer, Impact Products and Safety Zone, including port congestion and equipment shortages. (*Id.* ¶¶ 3–4, 21–23.)

7. Complainant also asserts that Respondent’s practices constituted an unreasonable refusal to deal or negotiate in violation of 46 U.S.C. § 41104(a)(10). (*Id.* ¶¶ 12, 33.)

8. In its answers to the Complaint, Respondent denies or claims to lack knowledge of most of the allegations made by Complainant in the Complaint. (**Doc. No. 27.**)

II. The Parties and Their Roles.

A. Complainant and Its Role in Representing Injured U.S. Shippers.

9. Complainant is a Delaware limited liability company that acquired all assets of Impact Products and Safety Zone, including all rights and causes of action, through their bankruptcy sale. (**Doc. No. 18, p. 2 (Exhibit 2); Doc. No. 23, ¶ 2.**) This acquisition specifically included the claims brought in this case against Respondent. (*Id.*)

10. Impact Products and Safety Zone were leading U.S. based suppliers in their respective industries. (**Doc. No. 23, ¶ 6.**) Impact Products specialized in manufacturing and distributing cleaning supplies and accessories, while Safety Zone focused on safety equipment and personal protective equipment. (*Id.*) Both companies operated under the parent corporation Supply Source Enterprises, Inc. (“Supply Source”). (*Id.*)

11. Impact Products and Safety Zone were considered “shippers” under to 46 U.S.C. § 40102(23). (*Id.*)

12. In May 2024, Supply Source and its affiliates, including Impact Products and Safety Zone, filed for Chapter 11 bankruptcy in the United States Bankruptcy Court for the District of Delaware, Case No. 24-bk-11055 (Bankr. Del.). **(Doc. No. 23, ¶ 2.)**

13. On July 10, 2024, all assets of Impact Products and Safety Zone, including all rights and causes of action, were sold to Complainant TZ SSE Buyer, LLC as part of a Chapter 11 bankruptcy sale. **(See Doc. No. 23, ¶ 2; Doc. No. 18, pp. 2–3 (Exhibit 2)).**

B. Laufer’s Role as an Intermediary.

14. Laufer is a global logistics company and a registered NVOCC, as defined under 46 U.S.C. § 40102(17). **(Doc. No. 27, ¶ 13; see Federal Maritime Commission, Ocean Transportation Intermediaries (OTI) List.)**

15. During 2021 and 2022 (the “Relevant Period”), Impact Products and Safety Zone contracted with Laufer to manage the transportation and delivery of goods they purchased overseas. **(Doc. No. 23, ¶ 13–14; Ex. 1, CX_000001–000006.)**

16. Laufer handled all logistics associated with these shipments, including securing container space and arranging transport on ocean carrier vessels to ensure the goods were shipped to the United States. **(Doc. No. 23, ¶¶ 13–16; Ex. 1, CX_000001–000006.)**

17. To fulfill its role as logistics intermediary, Laufer entered into agreements to secure container space aboard Respondent’s vessels and to coordinate ocean shipping services for cargo owned by Impact Products and Safety Zone. Laufer was listed as the consignee and notify party on the relevant shipments and bills of lading. **(Doc. No. 23, ¶ 12–14; Ex. 1, CX_000001–000006; see Ex. 2, CX_001365–001366.)**

18. During the Relevant Period, Impact Products and Safety Zone, through Laufer, shipped 1,577 containers (collectively referred to as “Relevant Containers”) using Respondent’s ocean vessels. **(Doc. No. 23, ¶¶ 13–15; Ex. 1, CX_ 000001–000006, 000008–000025.)**

19. Once the containers carrying Impact Products’ and Safety Zone’s goods arrived at U.S. ports and were offloaded from the vessels to Respondent’s terminal space within the ports or to a container yard or rail yard, Laufer and Impact Products/Safety Zone arranged for drayage companies to pick up the containers, deliver them to their next destination, and return the empty containers to the designated location. **(Id.)**

20. Laufer and Impact Products/Safety Zone used the following drayage companies: (1) Transnet, Inc.; (2) Sunburst Truck Lines, Inc.; (3) Galasso Trucking, Inc.; (4) Itz- Ohlson Transport, Inc.; (5) Sunteckts, a Mode Global Company; (6) D&M Trucking Services; (7) Golden State Logistics; (8) Miken Cartage, Inc.; (9) Steam Logistics LLC; (10) RoadOne IntermodaLogistics, Inc.; and (11) Total Quality Logistics, LLC **(Ex. 3, CX_001386–001396.)**

21. In addition to booking and coordinating logistics, Laufer was responsible for handling billing. **(Ex. 1, CX_000001–000006.)** During the Relevant Period, Laufer received invoices from Respondent for demurrage, detention, per diem, and yard storage charges related to the Relevant Containers. **(Id.)**

22. Of the Relevant Containers, Respondent imposed demurrage charges on 244 containers, detention charges on 15 containers, per diem charges on 73 containers, and yard storage charges on 312 containers. **(Ex. 1, CX_000001–000006, 000008–000025; Doc. No. 23, ¶¶ 13–15)** These charges totaled \$1,656,492.00, which Complainant originally sought in damages as part of its Complaint. **(Id.)**

23. During discovery, Complainant produced an Excel spreadsheet summarizing the damages it sought (the “Original Damages Spreadsheet”). **(Ex. 1, CX_000001–000006, 000008–000020.)** The Original Damages Spreadsheet was produced on July 29, 2024, as part of Complainant’s responses to Respondent’s First Set of Discovery Requests.

24. A copy of the Original Damages Spreadsheet is attached as Exhibit A to the declaration of Lawrence Hallett. **(Ex. 1 (Exhibit A), CX_000001–000006, 000008–000020.)**

25. The Original Damages Spreadsheet outlines all of the Charges at issue, organized by Laufer reference number, container number, and both house and master bill of lading numbers. **(Id.)** It also identifies the amount of each invoice and categorizes whether the charge involves demurrage, detention, per diem, or yard storage. **(Id.)** The spreadsheet also includes subtotals by charge type and an overall total. **(Id.)**

26. The Damages Spreadsheet was recently amended following the Presiding Officer’s decision granting Respondent’s Motion for Partial Summary Judgment with respect to shipments that were discharged at Canadian ports but had final destinations in the United States. **(Dock. No. 55.)**

27. As a result of that ruling, Complainant’s claimed damages have been reduced to \$637,195.21 across 228 shipments (collectively referred to as the “Charges”). An updated copy of the amended Damages Spreadsheet (“Amended Damages Spreadsheet”) was provided to Respondent and is included as part of the declaration of Lawrence Hallett as Exhibit B. **(Ex. 1 (Exhibit B), CX_000001–000006, 000019–000025.)**

28. The Amended Damages Spreadsheet reflects the removal of all shipments discharged at Canadian ports and includes only shipments that arrived at U.S. ports. This revision is supported by discharge location information contained in the corresponding invoices, Notices

of Arrival, and non-negotiable seaway bills produced by Laufer and Respondent during discovery. **(Ex. 1 (Exhibit B), CX_000019–000025, 000032–001355; Ex. 4, CX_001397–002138.)** All relevant invoices for the Charges are included in Complainant’s Appendix in support of its Opening Brief, specifically in **Exhibit 1, CX_000032 through CX_001355.**

29. Although Laufer invoiced Impact Products and Safety Zone for the Charges, it acted solely as a conduit for Respondent’s assessments. **(Doc. No. 23, ¶¶ 13–16; Ex. 1, CX_000001–000006.)**

30. Impact Products and Safety Zone paid the full \$637,195.21 to Laufer, which Laufer then remitted to Respondent. **(Id.)**

31. On April 4, 2024, Laufer formally assigned the claims arising from these Charges to Impact Products and Safety Zone. A copy of the assignment document was included as part of the Complaint and produced during discovery. It is included as part of the declaration of Lawrence Hallett as Exhibit B. **(Doc. No. 23, ¶ 16 (Exhibit A); Ex. 1 (Exhibit C), CX_000026–000031.)**

C. Respondent COSCO’s Role as an Ocean Common Carrier and Its Responsibilities Under the Shipping Act.

32. Respondent is an ocean common carrier, as defined under 46 U.S.C. § 40102(7), (18), regulated by the Federal Maritime Commission (“FMC”). **(Doc. No. 27, ¶¶ 8, 10; Ex. 2, CX_001360.)** Headquartered in China, Respondent operates across numerous countries, including the United States. **(Id.; Ex. 2, CX_ 001360)**

33. Respondent’s status as an ocean common carrier is further supported by the invoices, Notices of Arrival, and non-negotiable seaway bills related to the Relevant Containers and Charges, which were produced by Laufer and Respondent during discovery. **(Ex. 1, CX_000032–001355; Ex. 4, CX_001397–002138.)**

34. Respondent conducts its business operations in the United States through its agent, COSCO SHIPPING Logistics (North America) Inc., with offices located at 100 Lighting Way, Secaucus, New Jersey 07094. **((Doc. No. 27, ¶ 8; Ex. 2, CX_ 001360.))**

35. As an ocean common carrier, Respondent provides containerized cargo transportation services to shippers around the world. **(Id.)** These services involve receiving, handling, storing, and delivering goods using its fleet of ocean vessels and a comprehensive logistics network. **(Id.)**

36. Under 46 U.S. Code § 41102(c), Respondent is required to establish, observe, and enforce just and reasonable practices in its handling and transportation of cargo. Additionally, it must comply with FMC guidance regarding demurrage and detention charges. **(Ex. 2, CX_ 001369.))**

37. During 2021 and 2022 (the “Relevant Period”), Respondent transported Impact Products’ and Safety Zone’s goods from ports outside of the United States to United States ports, container yards, or rail yard for further inland distribution. using its shipping containers and ocean vessels. **(Doc. No. 23, ¶¶ 13–14; Ex. 1, CX_000001–000006, 000019–000025, 000032–001355; Ex. 4, CX_001397–002138.))**

38. Respondent entered into agreements with terminal operators at U.S. ports to facilitate the offloading, handling, and temporary storage of the Relevant Containers transported under its ocean carriage. **(Ex. 2, CX_001363.))**

39. Respondent has acknowledged that it regularly assesses demurrage, detention, per diem, and other accessorial charges as part of its normal, customary, and continuous business practices. **(See Ex. 2, CX_ 001360, 001363.))**

III. Unprecedented Port Congestion and Equipment Shortages

A. Severe Chassis Shortages and Port Congestion Were Widely Known Throughout the Industry.

40. During the Relevant Period, the shipping industry faced unprecedented challenges stemming from severe equipment shortages, and widespread port congestion. (Ex. 6, CX_002147–002152.)

41. These systemic issues, exacerbated by the COVID-19 pandemic, were widely reported and well-known throughout the industry, including by regulatory authorities such as the Federal Maritime Commission (“FMC”). (See *generally*, Ex. 5, CX_002139–002146; Ex. 6, CX_002147–002152; Ex. 7, CX_002153–002167; Ex. 8, CX_002168–002181.)

42. According to the FMC’s 61st Annual Report for Fiscal Year 2022, during fiscal year 2022, U.S. exporters and importers dealt with supply chain challenges, including port congestion, significant demurrage and detention charges, and a lack of appointments, equipment, and vessel space. (Ex. 6, CX_002147–002152.)

43. A surge in consumer demand, combined with port bottlenecks and equipment imbalances, created cascading disruptions throughout the supply chain. (See *generally*, Ex. 5, CX_002139–002146; Ex. 6, CX_002147–002152; Ex. 7, CX_002153–002167; Ex. 8, CX_002168–002181.)

44. For example, at the Port of Los Angeles, import volumes surged by 27% in June 2021 compared to the previous year, while the number of empty containers increased by 47%. This led to severe congestion, making it increasingly difficult to unload containers and move them out before free time periods expired. (Ex. 8, CX_002168–002181.)

45. As a result, equipment shortages worsened, further straining U.S. exporters and importers' ability to manage freight operations. (See *generally*, Ex. 5, CX_002139–002146; Ex.

6, CX_002147–002152; Ex. 7, CX_002153–002167; Ex. 8, CX_002168–002181.) The imbalance in container and chassis availability caused containers to remain stuck at ports, compounding delays and hindering cargo movement. (*Id.*)

46. These widespread issues directly impacted Laufer’s, Impact Products’ and Safety Zone’s ability to retrieve and return containers in a timely manner. (Ex. 1, CX_000001–000006.)

47. Evidence of these logistical challenges is reflected in emails dated September 15, 2021, and October 7, 2021, from Laufer to Safety Zone concerning a Relevant Container. These emails specifically relate to the shipments associated with master bill of lading numbers COSU6305424860 and COSU6305796900. The emails state:

September 15, 2021, Email:

Hi [Safety Zone],
Please see below update from carrier.

The ports are open and running this morning. Please have this paid through tomorrow, 9/16 to ensure we are able to have this pulled. There are many delays and lots of congestion as drivers have been stuck at the ports for hours this morning trying to pick up. I’m more than sure it’ll remain this way throughout the day. Please see the below picture for your reference.

October 7, 2021, Email:

Hi [Safety Zone],
Per the carrier, Do to the congestion at the ports and rails, and the lack of chassis. Our drivers are having to wait for a chassis and/or hunt them down at different yards. This is helping to pay them to keep freight moving from the port and rails, and to offset their wait time for a chassis.

(Ex. 9, CX_002182–002197.)

B. Respondent Acknowledged Widespread Disruptions During 2021–2022 Yet Continued to Impose Accessorial Charges as a Routine Business Practice.

48. During the deposition of Respondent’s corporate representative, Mr. Tom Takase (“Mr. Takase”), Vice President of COSCO SHIPPING Lines (North America) Inc., Mr. Takase testified that Respondent was aware of the widespread port congestion and equipment shortages

affecting the maritime transportation logistics industry, including Respondent, through the Relevant Period. **(See Ex. 2, CX_001362.)** He acknowledged that these issues were significant and pervasive, impacting operations across multiple levels. **(See id.)**

49. Mr. Takase further testified that Respondent imposes demurrage, detention, per diem, and other accessorial charges as a standard and continuous part of its daily operations. **(See Ex. 2, CX_001360–001362.)** He confirmed that issues involving these charges are routine for Respondent and are addressed regularly in the course of business. **(See id.)**

IV. Respondent Often Failed to Provide Substantive Responses to Complainant’s Discovery Requests, Including Relevant Invoices and Email Communications Related to the Relevant Containers and Charges.

50. During the course of discovery, Respondent failed to provide substantive responses to Complainant’s initial interrogatories and requests for production. This prompted Complainant to serve a deficiency letter, along with supplemental interrogatories and requests for production, on Respondent on January 10, 2025. **(Ex. 10, CX_002198–002228.)** Complainant requested that Respondent cure the outstanding deficiencies by providing complete and substantive answers to Complainant’s interrogatories and by producing all documents relevant and responsive to Complainant’s requests for production. **(Id.)**

51. After Respondent’s continued non-compliance, Complainant filed a Motion to Compel on April 11, 2025, which was partially granted on May 15, 2025 (the “Order”). **(Ex. 11, CX_002229–002271; Doc. No. 46, 51.)** The Order required Respondent to respond to and produce the following information:

- a. All documents, including invoices and payment records corresponding to such invoices, bills of lading, service contracts, and related shipping records concerning the Relevant Containers and Charges. This request was made through Interrogatory No. 7–8, 13, 17, and Requests for Production Nos. 3, 12.

- b. All documents connected with or relating to your common practices, policies and regulations in assessing demurrage, detention, per diem and yard storage charges, such as the Charges issued to Complainants during the Relevant Period as referenced in the Complaint. This request was made through Request for Production No. 11;
- c. For each demurrage, detention, per diem, or other accessorial Charge that Respondent issued as referenced in paragraphs 13–15 of the Complaint and the Original Damages Spreadsheet, explain in detail whether each invoice included specific instructions on how to dispute the Charges. This request was made through Supplemental Interrogatory 8.
- d. For the invoices in Respondent’s possession relating to the demurrage, detention, per diem, and other accessorial Charges referenced in paragraphs 13–15 of the Complaint and the Original Damages Spreadsheet, identify the specific Person(s) or entity/entities who paid Your for those Charges. This request was made through Supplemental Interrogatory 14.

(Doc. No. 51.)

52. Following the filing of the motion, on May 8, 2025, Respondent produced an Excel spreadsheet summarizing most of the demurrage Charges at issue. **(Ex. 12, CX_002272–002276.)** The spreadsheet included information such as master bill of lading terms and indicated whether Respondent was able to confirm that it issued the demurrage Charges listed in Complainant’s Original Damages Spreadsheet. **(Id.)** However, for the Charges it confirmed, Respondent did not produce all of the corresponding demurrage invoices or related shipping records that would have supported or explained those Charges. **(Ex. 1, CX_000032–001355)**

53. In particular, no invoices or other related shipping records were produced for the following container numbers:

- a. CCLU5189413; OOCU4895332; TCNU4624823; CSNU8445918;
CBHU7040603; TCNU3854734; DFSU2974775; CCLU7255915;
CSNU7738125; CBHU7002075; FSCU8027429; OOLU7704776;
TGHU6930932; UETU5691967; CSNU7612667; OOCU7675753;
TCNU4026668; TLLU5733877; CBHU8798835; TRLU7625276;
BMOU5513517; FCIU9669147; TRHU5515395; CCLU4780205;
FFAU3448075; CSNU1318980; CSNU6235240; UETU5366777;
CSNU6356961; FCIU9884073; SEGU5366408; CBHU9441919;

TEMU7879134;	CCLU4979835;	CBHU6277740;	OOLU9389539;
TTNU4875462;	CSNU6304660;	CBHU9596490;	SEGU6878883;
TLLU4155780;	TGHU6568309;	TGBU8885492;	CCLU5299724;
FFAU2781667;	CAIU8833704;	CSNU6248210;	CAAU6151446;
TRHU8745350;	CSNU7367620;	GCXU5479007;	TGCU5060613;
CSNU6206160;	OOLU4531661;	CCLU4905489;	CSNU7762883;
FSCU8621528;	CSLU6187611;	TLLU5730590;	FSCU5006952;
OOCU7986354;	CSNU7050507;	CSLU6056484;	OOCU8333694;
TCKU6138127;	CSNU7785488;	CAAU6113744;	BSIU9552230;
TGBU8561620;	CCLU6935820;	FSCU8983975;	CBHU6439034;
DFSU6090432;	DFSU6087948;	CBHU8653277;	CCLU5218872;
CBHU9075194;	OOLU4449785;	CCLU4995498;	OOCU7045543;
TCNU5145949;	CSNU6608955;	CSNU1179122;	AMLU4054410;
TGBU4097661;	MAGU5602324		

(Ex. 1, CX_000032–001355, Ex. 12, CX_002272–002276.)

54. This lack of supporting documentation contrasts with the testimony of Respondent’s corporate representative, Mr. Takase, who stated that during 2020 and 2021, Respondent manually issued demurrage invoices to customers or drayage companies. **(Ex. 2, CX_001364.)** He testified: “... it was a manual process. So the customers, if they’re unable to pick up the container within the free time, ... they would have to submit a request to our office here in Houston, give us the planned pickup date... We would calculate the demurrage cost based on their planned pickup date and issue them the invoice to pay against.” **(Id.)**

55. On May 21, 2025, Respondent produced another Excel spreadsheet identifying waived Charges for specific containers, including CSNU778548, CSNU660895, BMOU449481, and BSIU955223. **(Ex. 13, CX_002277–002278.)**

56. On May 23, 2025, Complainant requested the supporting documents underlying the waiver decisions. On May 29, 2025, Respondent produced two responsive invoices reflecting the waived Charges, but did not produce any documentation explaining the rationale for the waivers. **(Ex. 14, CX_002279–002299.)**

57. The existence of these waivers indicates that certain Charges were disputed or challenged by parties involved in the transportation and handling of the Relevant Containers. With respect to waivers, Mr. Takase further testified that Respondent would “review cases for potential mitigation based on scenarios ... [where] the customer or the truck would submit a dispute.” (**Ex. 2, CX_001362.**)

58. On May 21, 2025, Respondent produced its demurrage and detention policies. (**Ex. 15, CX_002300–002329.**) However, both documents indicated effective dates in 2024. (**Id.**) These were not the policies Complainant requested, nor were they responsive to the former Presiding Officer’s Order. (**Dock. No. 51, p. 8.**) Complainant specifically requested the demurrage and detention policies that were in effect during the Relevant Period (2021–2022), which is when the Charges at issue were assessed, as defined in the Complaint. (**Id.**)

59. Lastly, on May 23, 2025, Respondent served on Complainant its supplemental responses to Complainant’s discovery requests. (**Ex. 16, CX_002300–002329.**)

V. FMC Guidance on Detention and Demurrage Charges and Respondent’s Noncompliance.

A. Demurrage and Detention Charges as Tools to Incentivize Cargo Movement.

60. The Federal Maritime Commission’s (FMC) Interpretive Rule on Demurrage and Detention establishes that the primary purpose of these charges is to incentivize the movement of cargo and promote freight fluidity. (**Ex. 5, CX_002139–002146; Ex. 7, CX_002153–002167.**) By encouraging shippers to pick up cargo and return equipment within the allotted free time, these charges aim to optimize the use of ports and supply chain infrastructure. (**See id.**)

61. This principle places the burden of congestion on those best positioned to address it—such as ocean common carriers, seaports, and marine terminal operators—while recognizing

that shippers should not be penalized for delays caused by factors beyond their control. **(Ex. 5, CX_002139–002146.)**

62. Under 46 U.S.C. § 41102(c) and 46 CFR § 545.5, the FMC is authorized to assess whether detention and demurrage charges are reasonable. **(Ex. 7, CX_002153–002167.)** For purposes of these rules, the FMC considers demurrage and detention “to encompass any charges, including per diem, assessed by ocean common carriers, marine terminal operators... related to the use of marine terminal space or shipping containers...” **(Id.)** Charges that fail to incentivize cargo movement, or that are imposed in situations where compliance is impossible, are deemed unreasonable. **(See id.)**

63. The FMC evaluates the reasonableness of detention and demurrage charges based on several factors. These include, but is not limited to, whether the charges are tied to cargo availability, and whether carriers provide timely and clear notice of availability. **(Id.)**

64. The FMC also may consider in the reasonableness analysis the existence, accessibility, content, and clarity of policies implementing demurrage and detention practices and regulations, including dispute resolution policies and practices and regulations regarding demurrage and detention billing. **(Id.)** In assessing dispute resolution policies, the Commission may further consider the extent to which they contain information about points of contact, timeframes, and corroboration requirements. **(Id.)** Practices that disregard these considerations are likely to be found unreasonable. **(See id.)**

65. The Interpretive Rule on Demurrage and Detention is not merely advisory. It is the FMC’s official interpretation of what constitutes unreasonable practices under 46 U.S.C. § 41102(c) and serves as the foundation for investigations into violations. **(Ex. 5, CX_002139–002146.)** Noncompliance may result in civil penalties or other enforcement actions. **(Id.)**

66. Through Fact Finding 29 and subsequent guidance, the FMC has reinforced that detention and demurrage charges must align with their purpose of incentivizing cargo movement. Imposing charges during periods of widespread equipment shortages or port congestion—when shippers cannot reasonably comply—violates FMC principles and is subject to scrutiny. **(Ex. 5, CX_002139–002146; Ex. 8, CX_002168–002181.)**

B. Respondent’s Practices Disregarded the FMC’s Guidance.

67. Despite clear guidance established by the FMC, Respondent imposed the Charges during the Relevant Period even when systemic challenges—such as chassis shortages and port congestion—made it effectively impossible to retrieve or return containers within the allotted free time. **(Ex. 1, CX_000019–000025, 000032–001355; Ex. 4, CX_001397–002138; see Ex. 2, CX_001362.)**

68. These practices directly contravene the FMC’s principle that demurrage and detention charges must incentivize cargo movement rather than penalize shippers for circumstances outside their control. **(Ex. 7, CX_002153–002167.)**

69. Respondent failed to adjust its assessment of demurrage, detention, per diem, and other accessorial charges, despite being fully aware of the widespread logistical challenges during the Relevant Period. **(Ex. 1, CX_000001–000006, 000019–000025, 000032–001355; see Ex. 2, CX_001362.)** Rather than mitigating the impact of these systemic disruptions, Respondent continued to apply charges according to its routine practices, without regard for the barriers encountered by Laufer, Impact Products, Safety Zone, and their drayage providers. **(Id.)**

70. Some of the invoices produced by Respondent during discovery related to the Relevant Containers and Charges reflect a lack of transparency and accountability in Respondent’s billing practices. **(Ex. 1, CX_000032, 000034, 000036.)** These invoices did not explain the basis

for the Charges or include any information on how to dispute them—such as whom to contact, what documentation to provide, or the applicable deadlines for raising a dispute. (*Id.*)

71. When questioned about Respondent’s dispute resolution procedures, Mr. Takase testified that he did not know whether invoices issued in 2021 included any explanation of how to dispute the Charges. (**Ex. 2, CX_001369.**) This was corroborated by Respondent’s supplemental discovery response, which acknowledged that not all invoices included specific instructions for disputing Charges. (**Ex. 16, CX_002334.**)

VI. The Harm to Impact Products and Safety Zone.

A. Financial Burdens Imposed by Respondent’s Practices on Laufer, Impact Products and Safety Zone.

72. Respondent’s disregard for FMC guidance and the Shipping Act directly resulted in significant financial harm to Impact Products and Safety Zone.

73. During the Relevant Period, Impact Products and Safety Zone, through Laufer, shipped 1,577 containers using Respondent’s vessels. (**Ex. 1, CX_000001–000006, 000008–000025.**) Respondent assessed a total of \$1,656,492.00 in Charges related to these shipments, of which Complainant currently seeks \$673,590.21. (*Id.*)

74. These calculations are derived from the damages spreadsheet that Complainant provided to Respondent during discovery. (**Ex. 1, CX_000008–000025.**) This spreadsheet was meticulously prepared using invoices from Laufer, which detailed the Charges assessed by Respondent. (**Ex. 1, CX_000001–000006, 000032–001355.**) The invoices included key information, such as the container numbers associated with each charge, the corresponding master bill of lading, and the ocean carrier responsible for transporting the cargo. (*Id.*)

75. Mr. Larry Hallett (“Mr. Hallett”), the Director of Global Logistics for Supply Source Enterprises and the former Director of Global Logistics for Complainant, verified the

accuracy of these charges. **(Dock. No. 23.)** Mr. Hallett's review ensured that the spreadsheet was an accurate and reliable summary of the Charges assessed by Respondent during the Relevant Period.

VII. Respondent's Financial Gain Contrasted With Decreased TEU Movement.

A. Expert Evidence: TEU Cargo Movement Declined While Respondent's Revenues Surged

76. According to the expert report of John D. McCown, Respondent's financial performance was relatively modest prior to the COVID-19 pandemic but improved significantly during the Relevant Period. **(Ex. 17, CX_002359–60, 002365, 002393, 002401–02.)** Beginning in 2021, Respondent experienced a sharp rise in profitability. **(Id. CX_002361–62, 002365, 002393–94, 002401–02.)**

77. In his report, Mr. McCown observed that, despite Respondent's surging revenue, its movement of Twenty-foot Equivalent Unit ("TEU") cargo volume declined during the Relevant Period. **(Id., CX_002362–65, 002401–02.)** This decline coincided with a reduction in available vessel and terminal assets, highlighting a stark contrast between Respondent's operational activity and its significant revenue growth. **(Id.)**

78. This is significant because demurrage and detention charges are included in Respondent's total annual revenue. **(Id.)** Respondent's own rebuttal expert, Paul E. Kent, confirmed that these charges are included in Respondent's annual revenue, highlighting the financial importance of these fees to Respondent's profitability. **(Ex. 18, CX_ 002423.)**

79. Mr. McCown's analysis further revealed that Respondent's demurrage, detention, and per diem rates at U.S. ports were between 115 and 192 times the total ownership and maintenance costs of a single container. **(Ex. 17, CX_ 002373.)**

80. Mr. McCown also found that there was no meaningful opportunity cost associated with unavailable containers during the Relevant Period. **(Ex. 17, CX_ 002374–77.)** As with the broader shipping industry, Respondent’s vessels were operating at full capacity between Asia and the United States. **(Id.)** This meant that a specific container’s unavailability did not result in lost shipments because there was no additional vessel capacity to accommodate extra loads. **(Id.)**

81. Between the second quarter of 2020 and the fourth quarter of 2022, the top nine container carriers, including Respondent, generated \$11.7 billion in demurrage and detention income. **(Id., CX_002393.)** These carriers collectively represented 75.5% of the total container shipping industry revenue during this period, underscoring the significant role these fees played in the industry’s profitability. **(Id.)**

VIII. Conclusion and Relief Sought

82. Complainant seeks reparations for Respondent’s unlawful conduct in the amount of \$637,195.21 pursuant to 46 U.S.C. § 41305, with interest pursuant to 46 U.S.C. § 41305(a). Complainant also seeks an award of reasonable attorneys’ fees as “the prevailing party” under 46 U.S.C. § 41305(e) and any additional relief that the Federal Maritime Commission deems just and proper.

Dated: July 30, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on June 30, 2025, a true and correct copy of the foregoing **Complainant's Proposed Findings of Fact in Support of its Opening Brief** was served by email on all counsel of record in accordance with 46 CFR Part 502.

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